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MY FIRST YEAR in the White House was coming to an end. I had some things to feel good about: The first phase of the largest tax cut in the nation's history had gone into effect, allowing Americans to keep and spend more of the money they earned, and, I hoped, sowing the seeds for a resurgence of the economy. Congress had approved more cuts in federal spending than in any previous year in history while still maintaining a broad safety net for unemployed, disabled, and destitute Americans. The prime interest rate had fallen six points and, thanks in part to a tight money policy (which I supported) on the part of the Federal Reserve Board, inflation was below ten percent for the first time in three years.

We had begun the task, as I promised in my inaugural address, of making government work with us, not over us; stand by our side, not ride on our back. The annual rate of growth of federal spending had been cut almost in half, to 7.5 percent from an average of fourteen percent during the previous three years. Under George Bush, we had begun storming the citadel of unnecessary restrictions that obstructed the workings of our economy, eliminating thousands of pages from the federal bureaucracy's rules and regulations. We had begun to restore to states and cities authority usurped from them by the bureaucracy, broadening the use of "block grants" that gave local teachers and community officials more say over how to spend federal aid—and less say to social engineers on the Potomac who had been setting policies and dictating rules for states and cities under strings-attached "categorical" grants.